

OLLSCOIL NA hÉIREANN, CORCAIGH
THE NATIONAL UNIVERSITY OF IRELAND, CORK

COLÁISTE NA hOLLSCOILE, CORCAIGH
UNIVERSITY COLLEGE, CORK

SEAT NUMBER

Examination Session and Year	Winter 2024
Module Code	AC1100
Module Title	Introduction to Accounting
Paper Number	1
External Examiner	Dr Caroline Linhares
Head of School/ Department	Prof Michelle Carr
Internal Examiners	Prof Stewart Smyth
Instructions to Candidates	Please answer QUESTION 1 and two other questions. All workings must be shown.
Duration of Paper	1.5 Hours
Special Requirements	The use of a non-programmable calculator is permitted
Question Paper to be handed up	YES ☒ NO ☐

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Section A – Compulsory Question

Question 1

The following trial balance has been prepared from the books of Encore Limited at 31 May 2024.

	Dr €	Cr €
€1 Ordinary Shares – authorised, issued and fully paid		200,000
Share premium		50,000
General reserve		50,000
Retained earnings at 1 June 2023		10,300
9% Debentures		50,000
Land at cost	210,000	
Buildings at cost	200,000	
Furniture & fittings at cost	40,000	
Accumulated depreciation on Buildings at 1 June 2023		30,000
Accumulated depreciation on Furniture & Fittings at 1 June 2023		15,000
Inventory at 1 June 2023	71,250	
Receivables	63,200	
Cash in hand	450	
Bank		82,750
Payables		51,500
Provision for doubtful debts		4,000
Sales		400,000
Purchases	219,250	
Bad debts written off	11,200	
Administration expenses	40,800	
Selling and distribution expenses	25,150	
Debenture interest	2,250	
Dividend paid	60,000	
	<u>943,550</u>	<u>943,550</u>

The following additional information relates to the financial position of the company at 31st May 2024 and should be taken into consideration in preparing the financial statements of the company:

- i. Inventory on hand valued at cost at was €80,000. This includes some inventory items which cost €3,000 but which have an estimated net realisable value of only €750.
- ii. Some administration expenses have been paid in advance amounting to €850.

(Cont'd.)

- iii. Selling and distribution expenses of €2,750 are to be accrued.
- iv. The provision for doubtful debts is to be reduced to €1,500 and the bad debt expense adjusted accordingly.
- v. The land is not depreciated but its value at the end of the year has been determined by an independent surveyor at €250,000 and this valuation is to be incorporated into the financial statements.
- vi. Depreciation for the year is to be provided on Buildings at the rate of 4% per annum using the straight-line method.
- vii. Depreciation for the year is to be provided on furniture and fittings at the rate of 15% per annum using the reducing-balance method.
- viii. One-half of the debenture interest payable for the year is unpaid at the year end.
- ix. Corporation tax on the profit for the year is €12,500.
- x. The directors propose to transfer €10,000 to the general reserve.

Requirement:

Prepare the company's Income Statement for the year to 31st May 2024, together with a Statement of Changes in Shareholders' Equity for the year and a Statement of Financial Position at the end of the year in accordance with International Financial Reporting Standards (IFRS).

Total 40 Marks

Section B – Please Answer Two Questions

Question 2

Part A

Bosco Mann Limited had the following at 31 December 2023:

Type:	Cost:	Date of Acquisition:	Depreciation Method:
Land	800,000	1 September 2018	N/A
Buildings	500,000	1 September 2018	5% Straight Line
Motor Vehicles	875,000	1 April 2022	15% Reducing Balance

During the year ended 31 December 2024, Bosco Mann disposed of the following item:

- a) A delivery truck which had originally cost €42,500 (when acquired on 1 April 2022), was disposed of on the 1 June 2024 for €25,000.
- b) Accumulated depreciation for Motor Vehicles was €214,923 at 31 December 2023.

It is Bosco Mann's policy to charge depreciation on a monthly basis, however no depreciation should be charged in the year of disposal.

Requirement

- (a) Calculate the carrying amount for the van and the profit/loss on disposal.
- (b) Show the journals relating to the disposal in 2024.
- (c) Show the journals for the depreciation charge for 2024.
- (d) If the depreciation policy was a full year on year of acquisition and none in year of disposal, what would the carrying amount be at date of disposal and what would the profit/loss on disposal be?

Sub-total 20 Marks

Part B

Requirement

Explain the responsibilities the ethical code of conduct places on a practicing accountant.

Sub-total 10 Marks

Total 30 Marks

Question 3

Part A

The *Conceptual Framework for Financial Reporting (2018)* sets out the concepts that underlie the preparation and presentation of financial statements for external users.

Requirement

Prepare a report for an investor with no prior knowledge of accounting that explains the:

- (a) qualitative characteristics of financial information as detailed in the *Conceptual Framework for Financial Reporting (2018)*; and

9 Marks

- (b) objective of a statement of financial position and its major limitations as a source of information for general users of financial statements.

9 Marks

- (c) Explain the following accounting concepts:

- i. The prudence concept

3 marks

- ii. The consistency concept

3 marks

- iii. The going concern concept

3 marks

- iv. The Accruals concept

3 marks

Total 30 Marks

Question 4

Part A

“... we need to ensure that corporate reporting makes clear how a company is making its money, not just how much money it has made.”

Peter Bakker, *Accountants Will Save the World* (2013)

Requirement

Explain what Peter Bakker means when he says, “Accountants Will Save the World”. Your answer should include your own opinion on Bakker’s ideas.

Sub-Total 20 Marks

Part B

Neil established a recorded music wholesaler business, as a sole trader, in September 2024. His business had the following transactions during the first month of trading:

1 Sept – Neil lodged his savings of €25,000 to the bank to start his business.

4 Sept – Paid the landlord for the quarter rent by cheque €3,000.

9 Sept – Obtained a loan from the bank for €100,000.

14 Sept – Purchased goods for resale on credit €56,000.

16 Sept – Sold goods on credit €44,200.

21 Sept – Paid €1,800 advertising costs.

29 Sept – Paid €2,050 wages to a new employee by bank transfer

Additional Information:

Closing inventory was €15,000 at 30 September 2024

Requirement

Prepare the journal entries to record the above transactions

Sub-Total 10 Marks

Total 30 Marks

END OF QUESTION PAPER

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